# PROPERTY MANAGEMENT AGREEMENT

Driftwood Town Center | San Diego, CA

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| **Owner** | Driftwood Town Center Owner LLC |
| **Manager** | Harbor Point Management Group |
| **Property** | Driftwood Town Center, 3892 Peachtree Court, San Diego, CA 51055 |
| **Agreement Date** | March 19, 2022 |

**1. Appointment.** Owner appoints Manager as the exclusive managing agent of Driftwood Town Center, and Manager accepts the appointment under the terms of this Agreement. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect.

**2. Term.** This Agreement has an initial term of one year and renews automatically for successive one-year terms unless terminated on thirty days' notice. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of CA.

**3. Management Fee.** Manager shall receive a monthly management fee equal to 6.8% of Gross Collected Revenues, plus a construction supervision fee of 5% of capital project costs. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought.

**4. Duties of Manager.** Manager shall lease, market, operate and maintain the Property, collect rents, pay expenses, hire and supervise on-site personnel and maintain books and records. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of CA.

**5. Operating Account.** All receipts shall be deposited in a segregated operating account in Owner's name. Manager is authorized to disburse funds in accordance with the approved budget. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought.

**6. Budgets and Reporting.** Manager shall submit the annual operating and capital budget at least sixty days before each fiscal year and monthly financial reports by the fifteenth day of each month. Time is of the essence with respect to each and every provision of this instrument. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect.

**7. Spending Authority.** Manager may incur expenses not exceeding $402,000 individually without Owner approval, except in an emergency threatening life or property. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of CA. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt.

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**8. Insurance and Indemnity.** Manager shall maintain workers' compensation, general liability and fidelity coverage and shall indemnify Owner against acts of gross negligence or willful misconduct. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of CA.

**9. Termination.** Owner may terminate this Agreement immediately for cause or upon sale of the Property. Manager shall deliver all records within ten days of termination. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. Time is of the essence with respect to each and every provision of this instrument.

**10. Appointment.** Owner appoints Manager as the exclusive managing agent of Driftwood Town Center, and Manager accepts the appointment under the terms of this Agreement. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. Time is of the essence with respect to each and every provision of this instrument.

**11. Term.** This Agreement has an initial term of one year and renews automatically for successive one-year terms unless terminated on thirty days' notice. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought.

**12. Management Fee.** Manager shall receive a monthly management fee equal to 3.8% of Gross Collected Revenues, plus a construction supervision fee of 5% of capital project costs. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of CA. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns.

**13. Duties of Manager.** Manager shall lease, market, operate and maintain the Property, collect rents, pay expenses, hire and supervise on-site personnel and maintain books and records. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of CA.

**14. Operating Account.** All receipts shall be deposited in a segregated operating account in Owner's name. Manager is authorized to disburse funds in accordance with the approved budget. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs.

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# Signatures

IN WITNESS WHEREOF, the parties have executed this instrument as of the date first written above.

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Driftwood Town Center Owner LLC

By: Grace Evans Title: Authorized Signatory Date: 03/19/2022

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Cardinal Dry Cleaners

By: Brian Larsen Title: Managing Member Date: 03/19/2022

## Exhibit A - Property

Driftwood Town Center, 3892 Peachtree Court, San Diego, CA 51055. Parcel containing approximately 30.20 acres, together with all improvements thereon.

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